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A subsidiary of a Government company shall also be treated as a Government company. These companies are registered as private limited companies though their management and their control vest with the government. This is a type of organization where both the government and private individuals are shareholders. Sometimes these companies are called as a mixed ownership company.

Examples: Steel Authority of India, Indian Oil Corporation, Oil and Natural Gas Corporation, Bharath Heavy Electricals.

b. Holding Companies

As per Section 2(87) "subsidiary company" or "subsidiary", in relation to any other company (that is to say the holding company), means a company in which the holding company—

(i) controls the composition of the Board of Directors; or

(ii) exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies:

Provided that such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.

c. Subsidiary Companies

"Subsidiary company" or "Subsidiary", in relation to any other company (that is to say the holding company), means a company in which the holding company.

(i) controls the composition of the Board of Directors; or

(ii) exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies:

Examples: H Ltd., holds more than 50% of the equity share capital of S Ltd. Now H Ltd., is the holding company of S Ltd., and S Ltd., is the subsidiary of H Ltd.

5. Classification of Companies on the Basis of Nationality

a. Domestic Companies

A company which cannot be termed as foreign company under the provision of the Companies Act should be regarded as a domestic company.

b. Foreign Companies

A foreign company means a company which is incorporated in a country outside India under the law of that country. After the establishment of business in India, the following documents must be filed with the Registrar of Companies within 30 days from the date of establishment.

(i) A certified copy of the charter or statutes under which the company is incorporated, or the Memorandum and articles of the company translated into English.

(ii) The full address of the registered office of the company.

(iii) A list of directors and secretary of the company.

(iv) The name and address of any person resident of India who is authorised to accept, on behalf of the company, service of legal process and any notice served on the company.